Report on Market Reactions to Stock Splits

Introduction

Stock splits are a corporate action where a company increases the number of its outstanding shares by issuing more shares to current shareholders. Despite no change in the company's market capitalization or shareholder equity, stock splits often result in a positive market reaction, typically reflected by a 2% increase in the stock price according to historical data. This report delves into why stock splits can elicit such positive market responses and examines recent evidence from academic research and financial news articles to provide a current perspective on this phenomenon.

1. Why Can the Market React Positively to Stock Splits?

1.1 Marketability: Stock splits reduce nominal share prices, making shares more appealing to individual investors and thereby improving liquidity. Some big investors, like mutual funds and pension funds, have rules about the price range of stocks they can invest in. By lowering the share price through a split, companies make it easier for these institutional investors to buy in, increasing demand and potentially driving the price up further. Berk and DeMarzo (2020) highlighted that the typical motivation for a stock is to keep the share price in range thought to be attractive to small investors. Making the stock more attractive to small investors can increase the demand for and the liquidity of the stock, which may in turn boost the stock price.

1.2 Signal from Management: When a company announces a stock split, it often sends a message that management is confident about the company’s future, leading to strong subsequent performance.

2. Recent Evidence on Market Reaction to Stock Splits (Post-2015)

2.1 Academic Research

Hoang and Duong (2024) hypothesised that the information content of splits should be related to the information managers reveal during quarterly earnigs announcements. They evaluated the informational aspect of splits by examning the relationship between long-term performance following splits and the market reaction around the last earnings announcement prior to splits and found that post-split stock returns and operating earnings growth are positively correlated with the 5-day returns around the last earning announcement prior the splits. This relationship holds even after controlling for diffrent charactoristics, including size, book-to-market, and momentum.

Huang, Liano and Pan (2015) investigates the impact of stock splits on stock liquidity, revealing a short-term effect that varies across different stages of the split process. The findings indicate that stock liquidity measures experience a significant increase around the stock split announcement. However, post-announcement, liquidity begins to decline, though it remains above the levels observed before the split. Once the ex-date passes, liquidity drops further, falling below the pre-split level, suggesting that the liquidity improvement is temporary. Additionally, the change in liquidity significantly explains the announcement effect but fails to account for the ex-date effect. These results support the signaling hypothesis or the attention-grabbing hypothesis, rather than the improved liquidity hypothesis.

2.2 Financial News Analysis

Schwab Asset Management is splitting shares on two-thirds of its 33 exchange-traded funds, aiming to stimulate sales with lower share prices. The company announced this recently an effort to make 20 of its exchange traded funds more appealing to financial advisors and retail investors by reducing the net assets values through share splits. Following by the announcement, the share price of SCHF, SCHG, SCHA, and SCHD increased by 0.57%, 1.12%, 1.31%, 0.39% respectively and the trading volume were increased as well.

PC Jeweller Stock Split: Multibagger small-cap company PC Jeweller is set to lower the price of its shares through its first-ever stock split. Although the company has consistently paid dividends and issued bonus shares to its shareholders, this marks the first time it will split its stock. Backed by LIC, PC Jeweller has delivered impressive multibagger returns, surging by 180% in just three months. On Tuesday, the stock reached a 52-week high of Rs 153.75 per share on the BSE, pushing the company's market capitalization to Rs 7,027.60 crore amid the stock rally.

Conclusion

The market's positive reaction to stock splits can be explained by signaling theory and marketability theory. Academic research since 2015 generally supports the view that stock splits are associated with short-term price increases, though the magnitude and frequency of these events may vary due to market conditions and changes in trading behavior. Recent financial news articles corroborate the continued interest in stock splits, with notable cases like Schwab Asset Managment and PC Jeweller exemplifying how splits can attract retail investors and drive up stock prices.

References

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